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DELHI-BASED RICHA, 40, successfully cleared her registered investment advisor (RIA) certification exam in 2021. It was a moment of triumph for her after narrowly missing out by just one mark the earlier. However, the joy was short-lived. Three years later, she found herself at the starting line, needing to undergo the certification process all over again.

68 | “I was asked to go to Chennai for the exam. The online option wasn’t available. I was required to retake the entire test from scratch. It just wasn’t worth the hassle, so I decided to let my licence lapse,” laments a disheartened Richa.

Her story mirrors that of many others who, despite passing the

RIA certification exam, chose not to renew their licences because of stringent regulatory requirements. Additionally, many financial professionals opted against pursuing the RIA certification, pointing to the high net-worth thresholds and fee structures that are not suitable for their small retail clientele.

This explains why, even 11 years after the market watchdog, Securities and Exchange Board of India (Sebi), introduced RIA regulations, the number of RIAs in the country remains shockingly low. According to data, currently, there are just 995 RIAs registered with Sebi, which translates to one investment advisor for nearly every 200,000 investors in the country. In fact, the actual number of practicing RIAs, per experts, is much lower.

“The real number is less than 300,” says Sharan Hegde, a finfluencer with more than 6 million followers across multiple social media platforms. “I work with a SaaS company that provides software to RIAs, so I have visibility into the data. This includes both individual and corporate RIAs.”

Despite this precarious situa-

tion, there is still hope. Sebi has recently proposed new guidelines aimed at improving the accessibility and practicality of the RIA framework. For instance, under the new rules, RIAs are no longer required to appear for the XA and XB exams every three years for certification renewal conducted by the National Institute of Securities Markets (NISM).

“Now the XC exam has been introduced. At the time of renewal, RIAs are required to watch a video, followed by a test that focuses only on the [recent] changes in the industry. One can also take a test online,” says Lovaii Navlakhi, Chairperson of the Association of Registered Investment Advisors (ARIA). “I definitely see a multi-fold increase in the number of RIAs in the country once new guidelines get notified,” adds a hopeful Navlakhi.

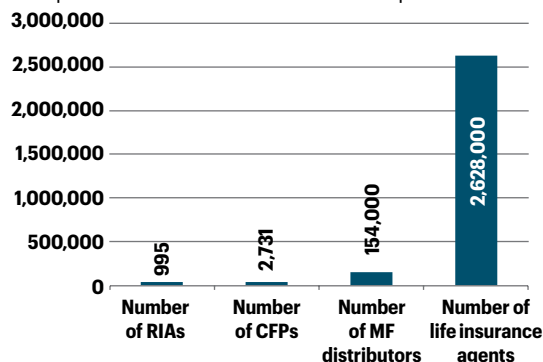
This might herald a new beginning for RIAs in the country.

WHAT'S CHANGING?

Currently, obtaining an RIA licence requires fulfilling several stringent requirements. For in-

LACK OF ADVICE

• The number of RIAs in the country is quite low in comparison to other financial services providers



NOTE PER LATEST AVAILABLE DATA SOURCE INDUSTRY

ADVISORS VS DISTRIBUTORS

• RIAs advise on various Sebi-registered investment products; MFDs give incidental advice on MFs that may suit an investor's needs

ADVISOR	DISTRIBUTOR
Advising skills are most important	Marketing skills are most important
Essentially a consulting job where execution is incidental	Essentially a sales job where suitability of product is incidental
Problem-solving approach	Product sales approach
Source of revenue is fee collected from client	Source of revenue is commissions received from manufacturer

SOURCE ARIA WEBSITE